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LABOUR LAW II

COMPLETE TOPPER MODEL ANSWERS

Osmania University | LLB 4th Semester

Revised & Complete Edition — All Blind Spots Covered

📚 PART A — SHORT NOTES	12 Topics × 6 Marks
📝 PART B — LONG ESSAYS	10 Topics × 15 Marks
⚖️ PART C — PROBLEM ANSWERS	11 Problems × 10 Marks

NEW IN THIS EDITION: EPF Act | Factories Act | Employee's Compensation Act | Code on Wages 2019

📚 PART A — SHORT NOTES | 12 Topics × 6 Marks Each | Aim: 1 Page Per Answer

A1 — LIVING WAGES

[Part A | 6 Marks Marks]

💡 DEFINITION

Living Wage is the HIGHEST concept in the Indian wage structure. It provides not just bare survival but social dignity, comfort, education, recreation and all reasonable human needs. — Fair Wages Committee, 1948

► 15th Indian Labour Conference 1957 — 5 Norms

Norm	Details
Standard Family	3 consumption units per worker's family
Food Requirement	2700 calories per person per day
Clothing	72 yards of cloth per family per year
Housing	Minimum rent as fixed by Government
Fuel, Lighting & Misc	20% of total food expenditure

► The Wage Ladder — Quick Reference

Type of Wage	Meaning
Minimum Wage	Bare subsistence — lowest statutory level
Fair Wage	Between minimum and living wage — takes capacity to pay into account
Living Wage	HIGHEST — provides full social dignity and all human needs
Need-Based Minimum Wage	Based on actual needs of worker — Reptakos formula

► Constitutional & Judicial Recognition

- Article 43 (DPSP) — State must secure living wage through legislation
- Not directly enforceable as fundamental right — but guides state policy

⚖ Unichoyi v. State of Kerala (1961)
SC recognized living wage concept; held State must progressively move towards securing living wages under Article 43.

✍ CONCLUSION

Living wage is the ultimate goal of Indian labour policy — ensuring workers live with dignity, not merely survive. Not yet fully achieved but remains the ideal standard to which minimum wages must aspire.

A2 — FULL BENCH FORMULA OF BONUS

[Part A | 6 Marks Marks]

💡 ORIGIN

Evolved by the Full Bench of the Labour Appellate Tribunal in Millowners' Association Bombay v. Rashtreeya Mill Mazdoor Sangh (1950). Later codified in the Payment of Bonus Act 1965.

► Step-by-Step Formula

Step	What It Means
Step 1 — Gross Profit	Total profit from establishment's working before any deductions
Step 2 — Prior Charges	Depreciation (IT Act) + Dev. Rebate + Direct taxes + 6% return on paid-up capital + 2% on working capital
Step 3 — Available Surplus	Gross Profit MINUS all prior charges
Step 4 — Allocable Surplus	60% of Available Surplus (67% for foreign companies)
Step 5 — Bonus	Paid from allocable surplus | Min: 8.33% | Max: 20% of wages

► Why It Matters

- ► Ensures employer gets reasonable return BEFORE sharing profits with workers
- ► Scientific, transparent, and fair to both sides
- ► SET ON — when surplus exceeds 20% max, excess carried forward (up to 4 years)
- ► SET OFF — when surplus is insufficient, deficiency drawn from set on of last 4 years

✍ CONCLUSION

The Full Bench Formula is the scientific foundation for bonus calculation in India, balancing employer returns with workers' rightful share of profits.

A3 — WHITLEY COMMISSION RECOMMENDATIONS

[Part A | 6 Marks Marks]

💡 BACKGROUND

Royal Commission on Labour in India. Chairman: J.H. Whitley. Appointed: 1929. Report Submitted: 1931. First comprehensive study of Indian labour conditions under colonial rule.

► Key Recommendations

Topic	Recommendation
Minimum Wages	Statutory minimum wages for all industries with wage-fixing machinery
Wage Boards	Tripartite boards (employers + workers + Govt) to fix fair wages
Payment of Wages	Cash only | No payment in kind | No illegal deductions
Women Workers	Equal pay for equal work | No dangerous occupations
Child Labour	Minimum age 14 | No night work | Compulsory education
Working Hours	8 hrs/day | 48 hrs/week | Overtime wages | Weekly holiday
Social Security	Workmen's Compensation | Sickness & maternity benefits | Old age pension
Trade Unions	Legal recognition | Right to organize | No victimisation

► Legislative Impact

Legislation	Based on Recommendation
Payment of Wages Act 1936	Wages in cash, no illegal deductions
Minimum Wages Act 1948	Statutory minimum wage fixation
ESI Act 1948	Social security and medical benefits
Factories Act 1948	Working conditions and safety
Maternity Benefit Act 1961	Maternity protection

✍ CONCLUSION

Whitley Commission laid the foundation for modern Indian labour law. Despite colonial origins, its recommendations were genuinely humanitarian and most have been enacted into legislation. Code on Wages 2019 traces its roots to Whitley's foundations.

A4 — SOCIAL INSURANCE / SOCIAL SECURITY

[Part A | 6 Marks Marks]

💡 DEFINITION

Social Security = State protection for members against economic/social distress from sickness, maternity, injury, unemployment, invalidity, old age, and death. [ILO Definition]

► 4 Methods of Social Security

Method	Explanation
1. Social Insurance	Contributory — workers + employers + state contribute to fund (ESI Act)
2. Social Assistance	Non-contributory — financed entirely by State (welfare schemes)
3. Social Service	Free public services — health, education, housing
4. Provident Fund	Compulsory savings — EPF Act 1952

► Key Legislation in India

Legislation	Coverage
ESI Act 1948	Sickness, maternity, injury, disablement benefits
EPF Act 1952	Retirement savings and pension benefits
Payment of Gratuity Act 1972	Long service terminal benefit
Workmen's Compensation Act 1923	Injury and death compensation
Maternity Benefit Act 1961	Maternity and pregnancy protection

► Constitutional Basis

- Article 41 — Right to work, education, public assistance in cases of unemployment, old age
- Article 42 — Just and humane conditions of work and maternity relief
- Article 43 — Living wage for all workers

✍ CONCLUSION

Social Security is the backbone of a welfare state. India has made significant progress but full coverage of the unorganised sector — which employs over 90% of the workforce — remains the biggest challenge.

A5 — MATERNITY BENEFIT

[Part A | 6 Marks Marks]

💡 KEY LAW

Maternity Benefit Act 1961 (amended 2017). Applies to factories, mines, plantations, shops/establishments employing 10+ persons. Protects women workers' economic and physical health during pregnancy and post-delivery.

▶ Eligibility

- Must have worked at least 80 days in the 12 months preceding expected delivery date

▶ Benefits at a Glance

Benefit	Details
Maternity Leave (1st & 2nd child)	26 weeks paid leave | 8 weeks before delivery
Maternity Leave (3rd child+)	12 weeks paid leave
Adoptive/Commissioning Mother	18 weeks paid leave from date of adoption
Medical Bonus	₹3,500 if no pre/post natal care provided by employer
Nursing Breaks	2 breaks per day until child is 15 months old
Crèche Facility	Mandatory for establishments with 50+ employees
Work from Home	If nature of work permits, after maternity leave period

▶ Protection Against Dismissal

Section 12 — ABSOLUTELY PROHIBITS dismissal during pregnancy or maternity leave. Any dismissal during this period is VOID and employer is criminally liable under the Act.

⚖ B. Shah v. Presiding Officer (1977)
SC held that maternity benefit must be calculated including Sundays and holidays — not just working days.

✍ CONCLUSION

2017 Amendment was landmark — increased leave from 12 to 26 weeks for first two children. Ensures health and economic security of women workers during pregnancy and early motherhood.

A6 — ESI CORPORATION (ESIC)

[Part A | 6 Marks Marks]

💡 WHAT IS ESIC

Statutory body under Section 3, ESI Act 1948. Apex body for administering ESI Scheme across India. A body corporate with perpetual succession and common seal.

► Contribution Rates

Contributor	Rate
Employer	3.25% of wages
Employee	0.75% of wages
State Government	1/8th of expenditure on medical benefit
Low Wage Exemption	Employees earning ≤ ₹137/day — exempt from contribution but still covered

► 6 Benefits Administered by ESIC [Section 46]

Benefit	Details
1. Sickness Benefit	70% of wages for 91 days/year | Extended: 2 years at 80% for TB, cancer, etc.
2. Maternity Benefit	100% wages for 26 weeks (1st/2nd child) | 12 weeks (3rd child+)
3. Disablement Benefit	90% wages (temporary) OR monthly pension (permanent disablement)
4. Dependants Benefit	Monthly pension: Widow = 3/5th rate | Each child = 2/5th rate
5. Medical Benefit	Full medical care — outpatient, inpatient, specialist — NO contribution period required
6. Funeral Expenses	₹15,000 lump sum to person who incurs funeral expenses

✍ CONCLUSION

ESIC provides cradle-to-grave protection to workers in the organised sector. Extending benefits to the unorganised sector — which currently lacks any comparable social security — remains the future challenge.

A7 — GRATUITY

[Part A | 6 Marks Marks]

💡 DEFINITION

From Latin 'gratia' = grace. Lump sum payment by employer to employee as reward for long and meritorious service. Governed by Payment of Gratuity Act 1972.

► Quick Facts

Parameter	Detail
Eligibility	5 years continuous service (WAIVED for death/disablement)
Formula	Last Drawn Wages × 15/26 × Completed Years of Service
Maximum Gratuity	₹20 Lakhs (enhanced by 2018 Amendment from ₹10 Lakhs)
Payment Time	Within 30 days of it becoming payable
Interest on Delay	Simple interest @ 10% per annum on delayed payment

► Grounds for Forfeiture — EXHAUSTIVE LIST ONLY

Type	Ground
WHOLLY forfeited	Termination for moral turpitude, riotous/violent conduct, act of violence
PARTIALLY forfeited	Damage/loss/destruction of employer's property — only to extent of damage
NOT valid grounds	Loss of reputation, poor performance, any ground not listed in Section 4(6)

⚠ CRITICAL: The forfeiture list in Section 4(6) is EXHAUSTIVE — not illustrative. No other ground, however serious, can justify forfeiture.

⚖ Lalappa Lingappa v. Laxmi Vishnu Textile Mills (1981)
Gratuity is NOT a bounty but a RIGHT earned by the employee through long service.

✍ CONCLUSION

Gratuity Act is a beneficial legislation — must be liberally interpreted in favour of workers. The 2018 amendment doubling the ceiling reflects its growing importance as a retirement benefit.

A8 — CHILD LABOUR

[Part A | 6 Marks Marks]

💡 DEFINITIONS

Child = person below 14 years | Adolescent = 14-18 years [Child and Adolescent Labour (P&R) Amendment Act 2016]

► Absolute Prohibitions — 2016 Amendment

- No child (below 14) employed in ANY occupation or process whatsoever
- No adolescent (14-18) in HAZARDOUS occupations
- Domestic work & dhabas/restaurants SPECIFICALLY PROHIBITED — earlier a grey area

► Permitted Employment for Children

- Family enterprises — after school hours and during vacations ONLY
- Entertainment industry — with safety conditions ensuring education is not affected
- Sports activities as artist — with specific safeguards

► Constitutional Provisions

Provision	Protection
Article 24	No child below 14 in factory/mine/hazardous employment — FUNDAMENTAL RIGHT
Article 21A	Free & compulsory education to all children 6-14 years
Article 39(e)	Health/strength of children not to be abused
Article 39(f)	Children protected against exploitation

⚖ M.C. Mehta v. State of Tamil Nadu (1996)

SC directed: ₹20,000 compensation per illegally employed child; survey all child workers; provide adult family member employment; ensure rescued children get education.

✍ CONCLUSION

2016 Amendment — complete prohibition for under-14 is a landmark step. But strict enforcement, universal education and poverty alleviation are essential to eradicate child labour at its roots.

A9 — EQUAL REMUNERATION

[Part A | 6 Marks Marks]

💡 PRINCIPLE

Equal pay for equal work — men and women performing same/similar work must receive same wages. Governed by Equal Remuneration Act 1976. Also mandated by ILO Convention No. 100 (1951).

► Key Provisions of Equal Remuneration Act 1976

Section	Provision
Section 4	Duty to pay equal remuneration for same work or work of similar nature
Section 5	No discrimination against women in recruitment, training, transfer, or promotion
Section 6	Advisory committees with minimum 50% women members
Section 8	Employer must maintain registers and records of workers and wages

⚖ **Mackinnon Mackenzie v. Audrey D'Costa (1987)**

Employer cannot pay male and female stenographers doing identical work differently — equal pay principle applied strictly.

⚖ **Randhir Singh v. Union of India (1982)**

Equal pay for equal work is enforceable as a constitutional right under Articles 14 & 16 through Article 32.

✍ CONCLUSION

Code on Wages 2019 has absorbed the Equal Remuneration Act, strengthening the legal framework. But real change needs strict enforcement, awareness campaigns and structural economic changes to bridge the persistent gender wage gap.

A10 — MINIMUM WAGE

[Part A | 6 Marks Marks]

💡 DEFINITION

Minimum wage = lowest wage below which NO employer can pay workers. Statutory floor wage ensuring basic needs are met. Governed by Minimum Wages Act 1948 — now incorporated in Code on Wages 2019.

► Two Methods of Fixation

Method	Process
Committee Method [S.5(1)(a)]	Govt appoints committee → enquiry → recommendations → Gazette Notification
Notification Method [S.5(1)(b)]	Govt publishes proposals in Gazette → 2 months for objections → final Notification

► Key Principles

- ► Revised at intervals not exceeding 5 years
- ► Includes Basic Wage + Dearness Allowance (DA linked to cost of living index)
- ► Cannot be waived — agreement to work below minimum wage is VOID (Section 25)
- ► Non-payment = FORCED LABOUR under Article 23 of Constitution

⚖ Bijay Cotton Mills v. State of Ajmer (1955)

SC upheld constitutional validity of Minimum Wages Act — fixing minimum wages is a reasonable restriction, not violation of Article 19(1)(g).

⚖ Reptakos Brett v. Workmen (1992)

Minimum wage must be need-based — must include children's education, medical, recreation, and provision for old age.

✍ CONCLUSION

Minimum wage is the most basic protection for workers — the floor below which labour cannot be purchased. Non-payment is unconstitutional forced labour and is the foundation of India's wage structure.

A11 — EMPLOYEES PROVIDENT FUND ACT 1952 ★ NEW

[Part A | 6 Marks Marks]

💡 INTRODUCTION

Employees Provident Fund & Miscellaneous Provisions Act 1952 — Primary legislation for compulsory retirement savings for employees in the organised sector. Creates three important schemes.

► Applicability

- Every factory/establishment with 20+ employees
- Central Government can extend to establishments with less than 20 employees
- Once covered — continues even if employees fall below 20
- Employees drawing wages up to ₹15,000/month are mandatorily covered

► Three Schemes Under the Act

Scheme	Purpose	Contribution
EPF Scheme 1952	Retirement savings — lump sum on retirement/resignation/death	Employer: 12% | Employee: 12% of basic wages + DA
EPS (Pension Scheme) 1995	Monthly pension on retirement after 10 years service | Widow/child pension on death	8.33% of employer's 12% diverted to pension fund
EDLI (Insurance) Scheme 1976	Life insurance benefit to nominees on death of member	Employer: 0.5% | Government: 0.25%

► Key Benefits

Situation	Benefit
Retirement / Superannuation	Full EPF balance + pension
Death during service	Full EPF balance + EDLI insurance + pension to dependants
Resignation (after 5 yrs)	Full EPF balance; pension preserved
Medical emergency	Partial withdrawal allowed up to 6 months wages
Housing	Withdrawal up to 90% for purchase of house/flat

► Employer's Obligations

- Register establishment with EPFO within 30 days of becoming covered
- Deduct and deposit contributions by 15th of following month
- Maintain registers — Form 6A, Form 12A
- Issue annual slip to each member showing balance

► Penalties

- Non-payment/delay — damages up to 25% + interest @ 12% per annum
- Criminal prosecution — imprisonment up to 3 years + fine

✍ CONCLUSION

EPF Act is the cornerstone of retirement security for organised sector workers. The three schemes together provide savings, pension and insurance — covering workers comprehensively from employment to death.

A12 — FACTORIES ACT 1948 — HEALTH, SAFETY & WELFARE ★ NEW

[Part A | 6 Marks Marks]

💡 INTRODUCTION

Factories Act 1948 — Comprehensive legislation governing working conditions in factories. Applies to factories using power: 10+ workers | Not using power: 20+ workers. Key provisions in Chapters III (Health), IV (Safety), and V (Welfare).

► Chapter III — HEALTH Provisions [Sections 11-20]

Section	Provision
S.11 — Cleanliness	Factories must be kept clean — floors washed weekly with disinfectant
S.12 — Waste Disposal	Effective arrangement for disposal of wastes and effluents
S.13 — Ventilation & Temperature	Adequate ventilation, reasonable temperature — thermometers where necessary
S.14 — Dust & Fume	Effective measures to prevent inhalation of dust/fumes dangerous to health
S.15 — Artificial Humidification	State Govt to prescribe standards; no unhealthy humidification allowed
S.16 — Overcrowding	No room shall be overcrowded — 14.2 cubic meters per worker minimum
S.17 — Lighting	Sufficient natural and artificial lighting in all workrooms
S.18 — Drinking Water	Pure, wholesome drinking water at conveniently accessible points
S.19 — Latrines & Urinals	Sufficient, clean, properly lit, separate for men and women
S.20 — Spittoons	Sufficient spittoons; spitting elsewhere = fine up to ₹5

► Chapter IV — SAFETY Provisions [Key Sections]

Section	Provision
S.21 — Fencing of Machinery	All dangerous moving parts of machinery must be securely fenced
S.22 — Work Near Machinery	No young person to clean/lubricate moving machinery
S.24 — Hoists & Lifts	Must be of good mechanical construction, tested every 6 months
S.29 — Lifting Machines	Safe working load to be marked; not exceeded
S.36 — Explosive/Inflammable	No process with explosive/inflammable substance without safeguards
S.40B — Safety Officers	In factories with 1000+ workers — Safety Officer must be appointed

► Chapter V — WELFARE Provisions [Sections 42-49]

Section	Provision

Section	Provision
S.42 — Washing Facilities	Adequate washing facilities — separate for men and women
S.43 — Facilities for Sitting	Suitable seating arrangement for workers who have to work standing
S.44 — First-Aid Appliances	At least 1 first-aid box per 150 workers; in charge of trained person
S.45 — Canteens	Mandatory where 250+ workers — maintained by employer
S.46 — Shelters/Rest Rooms	Where 150+ workers — adequate rest rooms and lunch rooms
S.48 — Crèches	Where 30+ women workers — clean crèche for children below 6 years
S.49 — Welfare Officers	Where 500+ workers — Welfare Officer must be appointed

✍ CONCLUSION

The Factories Act 1948 is the premier legislation on working conditions. Its health, safety and welfare provisions represent minimum standards — not aspirational goals — below which no employer can fall. The Act must be interpreted broadly in favour of workers.

📝 PART B — LONG ESSAYS | 10 Essays × 15 Marks Each | Aim: 3 Pages Per Answer

B1 — ESI ACT — BENEFITS, OBJECTIVES & APPLICATION

[Part B | 15 Marks Marks]

💡 INTRODUCTION

Employees State Insurance Act 1948 — first major social security legislation of independent India. Came into force: 19 April 1948. Provides comprehensive medical & cash benefits to insured workers.

► Objectives of ESI Act

1. Provide medical care to insured workers and their families
2. Cash benefits during sickness/incapacity to work
3. Maternity benefits for women workers
4. Compensation for employment injuries
5. Benefits to dependants of deceased insured persons
6. Promote health and welfare measures for insured persons

► Applicability & Coverage

Category	Threshold
Factories using power	10 or more workers
Factories not using power	20 or more workers
Shops, hotels, restaurants, cinemas, road transport	10 or more persons
Wage ceiling for coverage	Employees drawing up to ₹21,000/month (₹25,000 for persons with disability)

► Contribution Rates

Contributor	Rate
Employer	3.25% of wages
Employee	0.75% of wages
State Government	1/8th of expenditure on medical benefit
Low Wage Exemption	Employees earning ≤ ₹137/day — exempt from contribution but still covered

► 6 Types of Benefits [Section 46]

Benefit	Details
Sickness Benefit	70% wages for 91 days/year | Extended sickness: 2 years at 80% for TB, cancer etc.
Maternity Benefit	100% wages for 26 weeks (1st/2nd child) | 12 weeks (3rd child+)

Benefit	Details
Temporary Disablement	90% wages during disablement | No minimum contribution required
Permanent Disablement	Monthly pension based on degree of disability
Dependants Benefit	Monthly pension: Widow = 3/5th rate | Each child = 2/5th rate
Medical Benefit	Full medical care — outpatient, inpatient, specialist | No contribution period required
Funeral Expenses	₹15,000 lump sum to person who incurs funeral expenses

► Employer's Obligations

- Register establishment with ESIC within 15 days of becoming covered
- Register all eligible employees including part-time and casual workers
- Pay contributions within prescribed time — 21st of the following month
- Maintain registers and records as prescribed

► Penalties for Non-Compliance

- Simple interest @ 12% per annum on delayed contributions
- Damages up to 25% of arrears
- Imprisonment up to 2 years + Fine up to ₹5,000 for other violations

⚖ ESI Corporation v. Apex Engineering (1998)
SC held definition of 'employee' under ESI Act must be liberally construed to include all workers — including part-time and casual workers.

⚖ Regional Director ESI v. Francis De Costa (1996)
ESI Act is social welfare legislation — must be interpreted broadly in favour of workers.

✍ CONCLUSION

ESI Act provides cradle-to-grave protection to workers in the organised sector. The scheme is self-financing, comprehensive and efficient. Extending its benefits to the vast unorganised sector — which employs over 90% of India's workforce — remains the most pressing future challenge.

B2 — MINIMUM WAGES — FIXATION & REVISION PROCEDURE

[Part B | 15 Marks Marks]

💡 INTRODUCTION

Minimum Wages Act 1948 — fundamental labour legislation to prevent exploitation of workers. Empowers Central & State Governments to fix and revise minimum wages for scheduled employments. Now subsumed in Code on Wages 2019.

► Types of Minimum Wages

Type	Basis
Time Rate	Per hour / day / week / month
Piece Rate	Per unit of output/production
Guaranteed Time Rate	For piece rate workers as a minimum guarantee
Overtime Rate	For work beyond normal hours — double the ordinary rate

► Method 1 — Committee Method [Section 5(1)(a)]

1. Government appoints Advisory Committee or Sub-Committees to enquire and advise
2. Committee = Employers reps + Workers reps + Independent persons (min 1/3rd, one = Chairman)
3. Committee holds enquiries, receives representations, submits recommendations
4. Government considers recommendations and fixes wages by Gazette Notification

► Method 2 — Notification Method [Section 5(1)(b)]

1. Government publishes proposals in Official Gazette
2. Two months given for objections from employers and workers
3. Government considers all objections, may consult Advisory Boards
4. Minimum wages fixed by final Gazette Notification

► 15th ILC 1957 — Norms for Computing Minimum Wage

Norm	Standard
Standard Family	3 consumption units per worker's family
Food	2700 calories per day per consumption unit
Clothing	72 yards of cloth per family per year
Housing	Minimum rent as fixed by Government
Fuel, Lighting & Misc	20% of total food expenditure

► Revision of Minimum Wages

- Must be reviewed and revised at intervals NOT EXCEEDING 5 years
- Same procedure applies to revision as fixation
- Interim increase may be made by notification pending full revision

► Employer's Obligations

- Pay not less than minimum wages fixed for each category of worker

- Pay overtime at DOUBLE the ordinary rate
- Maintain registers and records — Form I, Form II
- Display notices of minimum wages at workplace in vernacular language

► Penalties

- Paying below minimum wages — Imprisonment up to 5 years OR Fine up to ₹10,000 OR both
- Failure to maintain records — Fine up to ₹500

> ⚖ **Bijay Cotton Mills v. State of Ajmer (1955)**
> *SC upheld validity of Act — fixing minimum wages is reasonable restriction on Article 19(1)(g). Obligation to pay minimum wages cannot be avoided by agreement.*
>
> ⚖ **Reptakos Brett v. Workmen (1992)**
> *Minimum wage must be need-based — must include education, medical, recreation, and old age provision for workers.*
>
> ⚖ **Sanjit Roy v. State of Rajasthan (1983)**
> *Payment below minimum wages = forced labour under Article 23 — unconstitutional.*

✍ CONCLUSION

Non-payment of minimum wages = forced labour under Article 23 — unconstitutional. The fixation procedure ensures consultative, fair determination involving both employers and workers. The Code on Wages 2019 has replaced the Minimum Wages Act but retained its essential framework.

B3 — GRATUITY ACT — SALIENT FEATURES & PROVISIONS

[Part B | 15 Marks Marks]

💡 INTRODUCTION

Payment of Gratuity Act 1972 — provides lump sum reward to employees for long and loyal service on retirement, resignation, death or disablement. Gratuity is a right — not a bounty. [Lalappa Lingappa, 1981]

► Applicability

- ► Every factory, mine, oilfield, plantation, port and railway
- ► Every shop/establishment where 10+ persons are or were employed in preceding 12 months
- ► Every establishment notified by Central Government
- ► Once applicable — continues even if employees fall below 10

► Eligibility — 5 Year Rule & Exception

Reason for Leaving	5 Year Condition
Superannuation / Retirement	5 years continuous service REQUIRED
Resignation	5 years continuous service REQUIRED
Death	5 year condition WAIVED — payable even for 1 day of service
Disablement	5 year condition WAIVED — payable immediately

► Calculation Formula

GRATUITY = Last Drawn Wages × 15/26 × Completed Years of Service
15 = 15 days wages per year | 26 = working days in a month | Part year > 6 months = treated as full year

► Key Parameters

Parameter	Detail
Maximum Gratuity	₹20 Lakhs (enhanced from ₹10 Lakhs by 2018 Amendment)
Payment Deadline	Within 30 days of it becoming payable
Interest on Delay	Simple interest @ 10% per annum
Compulsory Insurance	Every 10+ employee establishment must insure with LIC/approved insurer
Nomination	Employee must nominate — updated on marriage/family change

► Forfeiture Grounds — EXHAUSTIVE LIST [Section 4(6)]

Type	Grounds
WHOLLY forfeited — only if	Moral turpitude | Riotous/disorderly conduct | Act of violence
PARTIALLY forfeited — only if	Damage/loss/destruction of employer property — only to extent of actual loss
NOT valid grounds — EVER	Loss of reputation | Poor performance | Any other reason not in Section 4(6)

► Dispute Resolution Process

1. Employee submits application to employer within 30 days of gratuity becoming due
2. Employer determines gratuity amount and notifies within 30 days
3. Payment made within 30 days (else 10% interest applies automatically)
4. Dispute → Application to Controlling Authority
5. Appeal → Appellate Authority within 60 days

> ⚖ **Lalappa Lingappa v. Laxmi Vishnu Textile Mills (1981)**
> *Gratuity is a RIGHT earned by long service — not a bounty at employer's discretion. Cannot be withheld arbitrarily.*
>
> ⚖ **Garment Export Promotion Council v. Appellate Authority (2004)**
> *Gratuity cannot be forfeited for misconduct unless it falls within the specific grounds in Section 4(6). List is exhaustive.*

✍ CONCLUSION

The Gratuity Act is a beneficial legislation — must be liberally interpreted in favour of workers. Progressive amendments have increased the ceiling and coverage. The Act gives financial security to workers at the end of their working life.

B4 — CHILD LABOUR — LAW IN INDIA WITH CASES

[Part B | 15 Marks Marks]

💡 INTRODUCTION

Child Labour = employing children in work that deprives them of childhood, education, health and future. Primary law: Child & Adolescent Labour (P&R) Amendment Act 2016. India has ratified ILO Conventions 138 and 182.

► Constitutional Framework

Provision	Protection
Article 24	FUNDAMENTAL RIGHT — No child below 14 in factory/mine/hazardous employment
Article 21A	FUNDAMENTAL RIGHT — Free & compulsory education for children 6-14 years
Article 39(e)	Tender age of children not to be abused (DPSP)
Article 39(f)	Children protected against exploitation (DPSP)
Article 45	Early childhood care until age 6 years (DPSP)

► 2016 Amendment — Key Changes

- COMPLETE prohibition on employment of children below 14 in ANY occupation
- Domestic work — previously grey area — now SPECIFICALLY PROHIBITED
- Dhabas, restaurants, hotels, resorts — PROHIBITED for children
- Adolescents (14-18) prohibited from HAZARDOUS occupations list

► Permitted Employment (Exceptions)

- Family enterprises — only after school hours / during vacations
- Entertainment industry (films, TV, advertisements) — with safety conditions ensuring education continues
- Sports activities as artist — with specific safeguards

► Penalties

Offence	Punishment
1st Offence	Imprisonment 6 months–2 years OR Fine ₹20,000–₹50,000 OR both
Subsequent Offences	Imprisonment 1–3 years (mandatory, not merely OR)
Rehabilitation Fund	Employer pays ₹20,000 per child to District Level Fund

► Landmark Cases

⚖ M.C. Mehta v. State of Tamil Nadu (1996)

SC directed: ₹20,000 per illegally employed child to Rehabilitation Fund; survey all working children; provide employment to one adult family member; ensure compulsory education for rescued children.

⚖ Bandhua Mukti Morcha v. Union of India (1984)

Bhagwati J: Bonded child labour violates Articles 21, 23 & 24. Directed immediate release and rehabilitation.

⚖ Bachpan Bachao Andolan v. Union of India (2011)

SC directed all states to take concrete steps to identify, rescue and rehabilitate child labour and ensure *education under RTE Act.*

► International Conventions

- ILO Convention No. 138 (1973) — Minimum age 15 years for employment
- ILO Convention No. 182 (1999) — Worst forms of child labour — India ratified both
- UN Convention on Rights of Child 1989 — India is signatory

✍ CONCLUSION

2016 Amendment was a landmark step. But complete eradication needs strict enforcement + universal education + poverty alleviation — addressing the root causes. Child labour is both a cause and effect of poverty — only a holistic approach can eliminate it.

B5 — BONUS — COMPUTATION, ALLOCABLE SURPLUS, SET ON & SET OFF

[Part B | 15 Marks Marks]

💡 INTRODUCTION

Payment of Bonus Act 1965 — provides for bonus to employees on basis of profits. Codifies the Full Bench Formula of the Labour Appellate Tribunal (1950). Minimum bonus payable even in loss years.

▶ Applicability & Eligibility

- Applies to: every factory + every establishment with 20+ employees
- Once applicable — continues even if employees fall below 20
- Employee eligible if: worked 30+ working days in accounting year AND wages ≤ ₹21,000/month

▶ Disqualification

- Employee is disqualified if dismissed for: Fraud | Riotous/violent behaviour | Theft/misappropriation/sabotage

▶ Step-by-Step Bonus Calculation

Step	Calculation
Step 1: Gross Profit	Profit from working per First Schedule (companies) / Second Schedule (others)
Step 2: Deductions	Depreciation (IT Act) + Dev. rebate + Direct taxes + 6% return on paid-up capital + return on reserves
Step 3: Available Surplus	Gross Profit MINUS all deductions
Step 4: Allocable Surplus	60% of Available Surplus (Indian) | 67% (Foreign companies)
Step 5: Minimum Bonus	8.33% of wages or ₹100 (₹60 for adolescents) — whichever is higher
Step 6: Maximum Bonus	20% of wages — cannot exceed even if surplus is higher

▶ SET ON & SET OFF — Critical Concept

Concept	Meaning	Memory Tip
SET ON	Allocable surplus EXCEEDS 20% max → excess (max equivalent to 20% of wages) carried forward for lean years — up to 4 years	Saving for rainy day
SET OFF	Allocable surplus is INSUFFICIENT for minimum bonus → deficiency carried forward against set on of last 4 years	Using the savings

▶ Wages for Bonus — What's EXCLUDED

Section 2(21): Wages for bonus EXCLUDE: Dearness Allowance | HRA | Overtime Allowance | Any other allowances | Commission. Ceiling = ₹7,000/month OR minimum wage, whichever is HIGHER.

▶ Time Limit for Payment

- Bonus must be paid within 8 months from close of accounting year

► Government may extend up to 2 years in special circumstances

⚖ **Millowners Association Bombay v. Rashtreeya Mill Mazdoor Sangh (1950)**
Full Bench of Labour Appellate Tribunal evolved the Full Bench Formula — later codified in Payment of Bonus Act 1965.

⚖ **Jalan Trading Co. v. Mill Mazdoor Sabha (1967)**
SC upheld validity of Bonus Act — obligation to pay minimum bonus even without profit is a reasonable restriction on employer's right.

✍ CONCLUSION

Set on and set off ensure continuity and fairness across good and bad years. The Act balances employer's right to reasonable returns with workers' legitimate claim to share in profits — a fair, scientific and tested approach.

B6 — WHITLEY COMMISSION ON WAGES — DETAILED ESSAY

[Part B | 15 Marks Marks]

💡 BACKGROUND

Royal Commission on Labour in India. Chairman: J.H. Whitley (former Speaker, British House of Commons). Appointed: 1929. Report: 1931. First systematic, comprehensive study of Indian labour conditions under colonial rule.

► Scope of Inquiry

- Wages and wage fixation methods across industries
- Working conditions in factories, mines, and plantations
- Housing and sanitation of workers
- Social security measures — sickness, old age, injury
- Child labour and women labour conditions
- Trade union rights and recognition

► 10 Major Recommendations

Recommendation	Details
1. Minimum Wages	Statutory fixation for all industries — wages sufficient for bare necessities of life
2. Wage Boards	Tripartite boards (employers + workers + independent Govt nominees) for each industry to fix fair wages
3. Payment of Wages	Cash only | Regular payment | No illegal deductions | No payment in kind → led to Payment of Wages Act 1936
4. Dearness Allowance	Cost of living allowance linked to cost of living indices to protect workers from inflation
5. Women Workers	Equal pay for equal work | No employment in dangerous occupations | Maternity benefits | Safety protections
6. Child Labour	Minimum age 14 for employment | No night work for children | Compulsory education
7. Working Hours	8 hours/day | 48 hours/week | Overtime wages | Mandatory weekly holiday | Annual paid leave
8. Social Security	Workmen's compensation | Sickness benefits | Maternity benefits | Old age pension → led to ESI Act 1948
9. Trade Unions	Legal recognition | Right to organize and bargain collectively | Protection from victimisation by employers
10. Labour Administration	Separate Labour Department | Trained inspectors | Labour Courts for dispute resolution

► Legislative Impact — Whitley's Legacy

Legislation	Link to Whitley Recommendation
Payment of Wages Act 1936	Wages in cash; prohibition of illegal deductions; timely payment
Minimum Wages Act 1948	Statutory minimum wage fixation for scheduled employments

Legislation	Link to Whitley Recommendation
ESI Act 1948	Social security and comprehensive medical benefits for workers
Factories Act 1948	Working conditions, hours, health, safety and welfare
Maternity Benefit Act 1961	Maternity protection for women workers
Payment of Gratuity Act 1972	Long service benefit — financial security on retirement
Equal Remuneration Act 1976	Equal pay for equal work — implementing Whitley's gender wage recommendation
Code on Wages 2019	Modern codification tracing roots directly to Whitley's framework

► Historical Significance

- First time a colonial government formally acknowledged that Indian workers had rights — not merely obligations
- Established the principle that State has a duty to protect workers from exploitation
- Set the agenda for post-independence labour legislation in India
- Introduced tripartism — employer + worker + government — as the preferred model for wage fixation
- Recognised social security as a state responsibility, not merely employer charity

► Criticisms of Whitley Commission

Criticism	Explanation
Colonial bias	Appointed by British rulers — primarily served British industrial interests in India
Conservative recommendations	Wage recommendations were minimal and modest — not genuinely pro-worker
Weak on trade unions	Did not recommend strong collective bargaining rights that workers needed
Slow implementation	Colonial government delayed implementing even the modest recommendations
Limited scope	Focused primarily on organised industrial sector — vast agricultural and unorganised sector ignored

> **⚖ Unichoyi v. State of Kerala (1961)**
> *SC held that the State must progressively move from minimum wages towards the ideal of living wages — an aspiration first articulated by the Whitley Commission.*

✍ CONCLUSION

Whitley Commission was a watershed moment in Indian labour history — the first formal recognition that workers have rights deserving legal protection. Despite its colonial origins and conservative approach, its recommendations formed the complete blueprint for modern Indian labour law. Code on Wages 2019 traces its philosophical foundations directly to Whitley's 1931 report.

B7 — EPF ACT 1952 — SCHEMES, CONTRIBUTIONS & BENEFITS ★ NEW

[Part B | 15 Marks Marks]

💡 INTRODUCTION

Employees' Provident Fund & Miscellaneous Provisions Act 1952 — primary retirement savings legislation for the organised sector. Administered by EPFO under the Ministry of Labour. Creates three interlocking schemes — EPF, EPS, and EDLI.

► Applicability

- Every factory and establishment with 20 or more employees
- Central Govt may extend to establishments with less than 20 employees
- Once covered — continues even if headcount falls below 20
- Employee earning wages up to ₹15,000/month — mandatorily covered
- Employees earning above ₹15,000/month — may voluntarily opt-in

► Three Schemes Under the Act

Scheme 1 — Employees' Provident Fund Scheme 1952

Parameter	Details
Purpose	Compulsory retirement savings — lump sum accumulation
Employee Contribution	12% of Basic Wages + Dearness Allowance + Retaining Allowance
Employer Contribution	12% (3.67% goes to EPF | 8.33% diverted to EPS)
Interest	Rate declared annually by Central Government (typically 8-8.5%)
Withdrawal	On retirement, resignation, death | Partial withdrawal for specific needs

Scheme 2 — Employees' Pension Scheme 1995

Parameter	Details
Purpose	Monthly pension on retirement | Widow/child pension on death
Source of Contribution	8.33% from employer's 12% contribution + Central Govt: 1.16% of wages
Eligibility for Pension	Minimum 10 years of pensionable service
Pension on Retirement	Monthly pension based on service and average salary
Widow Pension	Monthly pension to widow on member's death
Children Pension	Monthly pension to children (up to 2 children, up to age 25)

Scheme 3 — Employees' Deposit Linked Insurance Scheme 1976

Parameter	Details
Purpose	Life insurance benefit to nominees on death of member during service
Employer Contribution	0.5% of wages

Parameter	Details
Govt Contribution	0.25% of wages (subsidises the scheme)
Benefit	Sum equal to 35× average monthly wages OR ₹7 Lakhs — whichever is less
Employee Contribution	NIL — employees pay nothing for this scheme

► Employer's Obligations

1. Register establishment with EPFO within 30 days of becoming covered
2. Deduct employee contribution from wages and deposit by 15th of following month
3. Deposit employer's contribution simultaneously
4. Maintain registers — Form 6A (annual) and Form 12A (monthly)
5. Issue annual slip (Form 23) to each member showing balance
6. Submit monthly returns — ECR (Electronic Challan cum Return) online

► Important Withdrawals & Advances

Situation	Amount Permitted
Medical Treatment (self/family)	6 months' wages or employee's own share — whichever is less
Marriage (self/children/siblings)	50% of employee's own share; after 7 years of membership
House Purchase/Construction	Up to 90% of total accumulation; after 5 years of membership
Unemployment (1 month+)	75% of total accumulation after 1 month of unemployment
Final Settlement	Full EPF balance on retirement/resignation (after 2 months unemployment)

► Penalties for Employers

- Delayed contribution — damages: 5% to 25% of arrears based on duration of delay
- Interest @ 12% per annum on delayed deposits
- Criminal prosecution — imprisonment up to 3 years OR fine OR both
- False statement — imprisonment up to 1 year OR fine OR both

> ⚖ **Vikram University v. RPFC (1986)**
> *Definition of 'basic wages' must be given wide meaning — HRA/special allowances which are universally paid are part of basic wages for EPF contribution.*
>
> ⚖ **Regional PF Commissioner v. Shiv Kumar Joshi (2000)**
> *EPF Act is a beneficial social security legislation — must be liberally interpreted in favour of workers. Exclusions from coverage must be strictly construed.*

✍ CONCLUSION

The EPF Act with its three interlocking schemes — savings, pension and insurance — provides comprehensive security from employment to death. India's EPFO manages one of the largest retirement fund pools in the world. The Act's extension to unorganised sector workers through schemes like PM-SYM reflects the future direction of social security policy.

B8 — FACTORIES ACT 1948 — HEALTH, SAFETY & WELFARE PROVISIONS ★ NEW

[Part B | 15 Marks Marks]

💡 INTRODUCTION

Factories Act 1948 — comprehensive legislation governing working conditions. Repealed and replaced the Factories Act 1934. Applies to factories using power with 10+ workers; without power: 20+ workers. Covers health (Ch.III), safety (Ch.IV) and welfare (Ch.V).

► Key Definitions

Term	Meaning
Factory [S.2(m)]	Any premises where 10+ workers work with power, or 20+ without power, in manufacturing process
Worker [S.2(l)]	Person employed directly or through agency — doing skilled, unskilled, manual or clerical work
Occupier [S.2(n)]	Person who has ultimate control over affairs of the factory — responsible for compliance
Manufacturing Process [S.2(k)]	Making, altering, repairing, adapting any article for use, sale, transport, delivery

► CHAPTER III — HEALTH [Sections 11-20]

Section	Provision
S.11 — Cleanliness	Factory must be kept clean — floors washed at least once a week with disinfectant
S.12 — Waste/Effluents	Effective arrangement for disposal of all wastes and effluents
S.13 — Temperature	Adequate ventilation and reasonable temperature — thermometers where required
S.14 — Dust & Fumes	Measures to prevent inhalation of injurious dust, fumes or other impurities
S.16 — Overcrowding	Minimum 14.2 cubic meters per worker — no overcrowding
S.17 — Lighting	Sufficient natural and artificial lighting in every part where workers work
S.18 — Drinking Water	Effective provision for pure wholesome drinking water — marked 'drinking water'
S.19 — Latrines/Urinals	Separate enclosed accommodation for male and female workers — clean and well lit

► CHAPTER IV — SAFETY [Key Provisions]

Section	Provision
S.21 — Fencing of Machinery	Every dangerous moving part must be securely fenced — accessible only when machine stopped
S.22 — Work Near Moving Machinery	No young person allowed to clean, lubricate or adjust any part of moving machinery

Section	Provision
S.23 — Employment of Young Persons	No young person to work at any machine unless trained or under supervision
S.24 — Striking Gear/Devices	Appliances for cutting off power from machinery in emergency — easily accessible
S.29 — Lifting Machines	Safe working load to be marked; not exceeded; examined every 12 months
S.36 — Dangerous Fumes	No person to enter any chamber/tank with dangerous fumes without safety equipment
S.40B — Safety Officers	In factories with 1000+ workers — trained Safety Officer must be appointed
S.41A — Safety Committee	In hazardous factories — workers' Safety Committee must be constituted

► CHAPTER V — WELFARE [Sections 42-49]

Section	Provision	Threshold
S.42 — Washing Facilities	Adequate washing facilities — separate for men and women	All factories
S.43 — Sitting Facilities	Suitable seating for workers who have to work standing	All factories
S.44 — First-Aid Boxes	1 first-aid box per 150 workers; in charge of trained person	All factories
S.45 — Canteen	Canteen maintained by employer with subsidised food	150+ workers
S.46 — Shelters/Rest Rooms	Adequate rest rooms and lunch rooms with clean drinking water	150+ workers
S.48 — Crèches	Clean crèche for children below 6 years of women workers	30+ women workers
S.49 — Welfare Officers	Trained Welfare Officer must be appointed	500+ workers

► Working Hours [Chapter VI]

Category	Limit
Daily Work Hours	Maximum 9 hours per day
Weekly Work Hours	Maximum 48 hours per week
Overtime	Maximum 50 hours overtime per quarter — paid at double the rate [S.59]
Rest Interval	Minimum 30 minutes rest after 5 hours of continuous work [S.55]
Weekly Holiday	Mandatory one day holiday — generally Sunday [S.52]
Women Workers	Cannot be employed between 7 PM and 6 AM without state government permission

► Occupier's Liability

- ► Occupier has general duty to ensure health, safety and welfare of all workers [S.7A]
- ► Must prepare written Statement of General Policy on health and safety [S.7A(2)]
- ► Must notify local authorities of any accident causing death or serious injury [S.88]

► Penalties

- ► Contravention — Imprisonment up to 2 years OR Fine up to ₹1,00,000 OR both
- ► Continuing offence — additional fine up to ₹1,000 per day after first conviction
- ► Where offence causes death or serious injury — enhanced penalties apply

> ⚖ **Nagpur Electric Light and Power Co. v. Employees (1967)**
> *Beneficial welfare legislation must be liberally construed — all doubts resolved in favour of workers.*
>
> ⚖ **Consumer Education and Research Centre v. Union of India (1995)**
> *Right to health and safety in workplace is part of right to life under Article 21 — employer has non-negotiable duty to protect worker health.*

✍ CONCLUSION

The Factories Act 1948 sets minimum standards — not aspirational goals — for working conditions. Its health, safety and welfare provisions together ensure that industrialisation does not come at the cost of human dignity and health. The Occupational Safety, Health and Working Conditions Code 2020 has replaced it but retains the essential framework.

B9 — EQUAL PAY FOR EQUAL WORK / EQUAL REMUNERATION

[Part B | 15 Marks Marks]

💡 PRINCIPLE

Same wages for same work — irrespective of gender. Constitutional mandate under Article 39(d). Governed by Equal Remuneration Act 1976. Also mandated by ILO Convention No. 100 (1951). Now absorbed in Code on Wages 2019.

► Constitutional Basis

Provision	How It Applies
Article 14	Equality before law — extends to wage equality
Article 16	Equality of opportunity in public employment
Article 39(d)	DPSP — equal pay for equal work for men and women
Article 42	Just and humane conditions of work

► Equal Remuneration Act 1976 — Key Provisions

Section	Provision
Section 4	Duty to pay equal remuneration for same work or work of similar nature
Section 5	No discrimination against women in recruitment, training, transfer, promotion on grounds of sex
Section 6	Advisory committees with minimum 50% women members
Section 7	Employers must maintain registers relating to workers and wages
Section 8	Inspectors appointed to examine records and ensure compliance

► Definition: 'Same Work or Work of Similar Nature'

Work where skill, effort, experience and responsibility required are THE SAME when performed under similar working conditions. Differences must not be of practical importance in relation to employment conditions.

► Judicial Development — Key Cases

⚖ Randhir Singh v. Union of India (1982)

Equal pay for equal work is deducible from Articles 14 & 16 — enforceable as constitutional right through Article 32. Drivers in Delhi Police must get same pay as other Central Govt drivers.

⚖ Mackinnon Mackenzie v. Audrey D'Costa (1987)

Employer cannot pay male and female stenographers differently for identical work. Equal pay principle applied strictly.

⚖ Dhirendra Chamoli v. State of UP (1986)

Casual workers doing same work as regular workers must get same wages — regardless of nature of appointment.

✍ CONCLUSION

Code on Wages 2019 has absorbed Equal Remuneration Act, strengthening the legal framework. But real change needs strict enforcement, awareness campaigns and structural economic changes. Women's concentration in low-paid informal sectors remains the biggest structural barrier to wage equality.

B10 — EMPLOYEE'S COMPENSATION ACT 1923 — LIABILITY & CLAIMS ★ NEW

[Part B | 15 Marks Marks]

💡 INTRODUCTION

Employee's Compensation Act 1923 — one of the earliest social security laws in India. Provides for payment of compensation to workmen and their dependants in case of employment injury or death. Replaces the earlier Workmen's Compensation Act.

► Key Definitions

Term	Meaning
Workman [S.2(1)(n)]	Person employed in any capacity listed in Schedule II — includes most manual and clerical workers
Employer [S.2(1)(e)]	Includes any body of persons whether incorporated or not; also includes contractor
Accident	An unlooked-for mishap or untoward event not expected or designed
Disablement	Loss of earning capacity resulting from injury — temporary or permanent

► Employer's Liability for Compensation [Section 3]

An employer is liable to pay compensation when a personal injury is caused to a workman by an accident arising OUT OF and IN THE COURSE OF employment.

Condition	Explanation
Arising OUT OF employment	There must be a causal connection between employment and injury — work must be the cause or a contributing cause
Arising IN THE COURSE OF employment	Injury must occur during the time and place of work — includes incidental activities
Both conditions must be satisfied	Neither alone is sufficient — both must coexist

► When Employer is NOT Liable [S.3(1) Exceptions]

- ► Injury not resulting in total or partial disablement for more than 3 days
- ► Workman was under influence of drugs or alcohol at time of injury
- ► Workman disobeyed a rule expressly made for his safety
- ► Workman wilfully removed or disregarded a safety device

► Compensation Amount [Section 4]

Injury Type	Compensation Formula
Death	50% of monthly wages × Relevant Factor (based on age) | Minimum ₹1,20,000
Permanent Total Disablement	60% of monthly wages × Relevant Factor | Minimum ₹1,40,000
Permanent Partial Disablement	Percentage of full PTD compensation as per Schedule I

Injury Type	Compensation Formula
	injury list
Temporary Disablement	25% of wages per week for duration of disablement
Funeral Expenses	₹5,000 reimbursed to person who incurred expenses

► Doctrine of Notional Extension

Employment does NOT end at the factory gate. When employer provides transport to/from work, the period of employment is notionally extended to cover that journey — accidents during such transport are 'in the course of employment'.

⚖ Saurashtra Salt Mfg. Co. v. Bai Valu Raja (1958)
Established doctrine of notional extension — employment extends to journey in employer-provided transport. Pre-existing conditions do not bar compensation.

► Nexus Between Injury and Employment — Causation Test

- Work need not be the SOLE cause of injury — contributing cause is sufficient
- Pre-existing conditions (like heart disease) do NOT bar compensation if employment strain contributed
- Employer cannot escape by proving workman had a pre-existing condition

⚖ Mackinnon Mackenzie v. Ibrahim Mohammed Issak (1970)
Heart attack can be accident arising out of employment if causal connection exists. Work need not be sole cause — contributing cause is sufficient.

► Procedure — Commissioner for Employees' Compensation

1. Claim made to Commissioner for Employees' Compensation in the area
2. Commissioner holds inquiry — may call for medical examination
3. Compensation deposited with Commissioner before payment to claimant
4. Appeal to High Court on questions of law only

► Penalties for Default

- Failure to pay compensation — additional penalty of 50% of compensation as fine
- Interest @ 12% per annum on delayed payment
- Failure to notify accident — fine up to ₹5,000

✍ CONCLUSION

The Employee's Compensation Act 1923 is a beneficent piece of social legislation — must be interpreted broadly in favour of workers. The 'arising out of and in course of employment' test, read with the doctrine of notional extension and contributing causation, ensures broad protection. Workers need not prove negligence — making this a no-fault compensation scheme.

⚖ PART C — PROBLEM ANSWERS | 11 Problems × 10 Marks Each | Format: Issue → Law → Analysis → Decision

C1 — WOMAN WORKER TERMINATED FOR NIGHT SHIFT REFUSAL

[Part C | 10 Marks Marks]

🔍 ISSUE / QUESTION

Whether termination of a woman worker for refusing night shift work in a factory is valid under law.

📜 APPLICABLE LAW

Factories Act 1948 — Sections 66 & 70 | Maternity Benefit Act 1961 — Section 12 | Constitution — Articles 14, 15, 42

⚖ LEGAL ANALYSIS

Condition	Legal Position
Night shift for women	Section 66 — originally prohibited between 7pm-6am; many states now allow with safety conditions
Key Rule	Night shift must be VOLUNTARY — cannot be compelled under any circumstances
Mandatory conditions	Transport, security, separate rest rooms must be provided if night work permitted
Pregnant women	NO night shift in advanced stages of pregnancy — absolute rule
Dismissal during pregnancy	Section 12, MBA — ABSOLUTELY VOID — criminal liability on employer

⚖ Air India v. Nargesh Mirza (1981)
Service conditions unreasonable and violating dignity of women workers cannot be enforced.

✅ DECISION / VERDICT

Termination is ILLEGAL AND VOID. Night shift must be voluntary — termination for refusal violates protective legislation.

Worker is entitled to: (1) Reinstatement to original position (2) Back wages for period of illegal termination (3) Maternity benefit if pregnant (4) Compensation for wrongful termination.

C2 — WORKER HEART ATTACK AT WORKPLACE — COMPENSATION CLAIM

[Part C | 10 Marks Marks]

🔍 ISSUE / QUESTION

Whether death of a worker due to heart attack while working in the office entitles legal heirs to compensation under Employee's Compensation Act 1923.

📜 APPLICABLE LAW

Employee's Compensation Act 1923 — Sections 3 & 4. Two conditions: (1) Accident arising OUT OF employment (2) Accident IN THE COURSE OF employment

⚖ LEGAL ANALYSIS

Factor	Relevance
Was work strenuous/stressful?	If yes → supports causal connection to heart attack
Sudden unusual exertion?	If yes → strong case for compensation
Pre-existing heart condition?	Does NOT break causation — if work accelerated attack, employer liable
Sole cause required?	NO — work being a CONTRIBUTING cause is sufficient

⚖ Mackinnon Mackenzie v. Ibrahim Mohammed Issak (1970)
Heart attack can be accident arising out of employment if causal connection exists. Work need not be sole cause.

⚖ Saurashtra Salt Mfg. Co. v. Bai Valu Raja (1958)
Even with pre-existing heart condition, employer liable if employment strain contributed to or accelerated the fatal attack.

✅ DECISION / VERDICT

Legal heirs ARE ENTITLED to compensation — heart attack occurred during employment, causal connection established, beneficial legislation must be interpreted liberally.

Compensation calculated under Section 4 based on age and monthly wages of deceased. Employer cannot escape by merely proving pre-existing condition.

C3 — CHILD BELOW 14 ENGAGED AS DOMESTIC SERVANT

[Part C | 10 Marks Marks]

🔍 ISSUE / QUESTION

Whether employment of a child below 14 years as a domestic servant for meagre wages without any holiday is legal.

📜 APPLICABLE LAW

Child Labour (P&R) Amendment Act 2016 — Section 3 | Article 24 Constitution | Right to Education Act 2009

⚖ LEGAL ANALYSIS

Violation	Law Violated
Employment of child below 14	Violates Article 24 (Fundamental Right) + Section 3, 2016 Act
Domestic work specifically	2016 Amendment specifically prohibited domestic work — no longer a grey area
Meagre wages	Violates Minimum Wages Act 1948
No holidays	Amounts to forced labour under Article 23

⚖ M.C. Mehta v. State of Tamil Nadu (1996)
Employment of children below 14 is absolutely prohibited. Every such child must be rescued, rehabilitated, and provided education. Employer must contribute to rehabilitation fund.

✅ DECISION / VERDICT

Employment is COMPLETELY ILLEGAL AND VOID. Employer liable for imprisonment 6 months–2 years + Fine ₹20,000–₹50,000 + ₹20,000 contribution to Rehabilitation Fund.

Child must be immediately rescued and provided education under RTE Act. If parents are poor — government to provide employment to one adult family member.

C4 — WAGES PAID IN FOOD GRAINS — WORKERS CLAIM CASH

[Part C | 10 Marks Marks]

🔍 ISSUE / QUESTION

Whether an employer can pay wages in food grains instead of cash, and whether workers can demand payment in cash.

📜 APPLICABLE LAW

Payment of Wages Act 1936 — Section 6 | Code on Wages 2019 — Section 13

⚖ LEGAL ANALYSIS

Section 6: Wages SHALL be paid in current coin or currency notes or by cheque or bank account credit. NO employer shall pay wages partly or wholly in kind.

Why Cash is Mandatory:

- Workers have right to spend wages as they choose
- Payment in kind gives employer undue control over workers
- Prevents revival of exploitative 'truck system'
- Worker consent to receive food grains is VOID — statutory rights cannot be waived

⚖ Laljee Dubey v. Union of India (1977)
Payment of wages in kind is absolutely prohibited — employers cannot circumvent this by obtaining workers' consent.

✅ DECISION / VERDICT

Workers' claim for CASH WAGES is completely valid. Employer violated Section 6. Employer must immediately pay all wages in cash plus recover any shortfall.

Employer liable for prosecution and penalty under the Act. Workers' prior consent to food grains is irrelevant — void as against public policy.

C5 — EMPLOYEE AGREED TO WORK BELOW MINIMUM WAGE — LATER CLAIMS

[Part C | 10 Marks Marks]

🔍 ISSUE / QUESTION

Whether an employee who voluntarily agreed to work below statutory minimum wage can later claim minimum wages, and whether such agreement is valid.

📜 APPLICABLE LAW

Minimum Wages Act 1948 — Sections 3, 12, and 25 (Contracting Out)

⚖ LEGAL ANALYSIS

Section 25: Any contract or agreement whereby an employee relinquishes or reduces his right to minimum wages shall be NULL AND VOID.

Why Agreement Below Minimum Wage is Invalid:

- Minimum wages fixed by statute in PUBLIC INTEREST — not negotiable
- They represent minimum standard of living — a starving worker has no real free will
- Doctrine of waiver does NOT apply to welfare statute rights
- Allowing waiver would defeat entire purpose of the legislation

⚖ Bijay Cotton Mills v. State of Ajmer (1955)
Obligation to pay minimum wages cannot be avoided by agreement between parties.

⚖ Sanjit Roy v. State of Rajasthan (1983)
Payment below minimum wages = forced labour under Article 23 — unconstitutional.

✅ DECISION / VERDICT

Employee's claim for minimum wages MUST SUCCEED. Agreement to work below minimum wages is VOID under Section 25. Statutory rights cannot be waived.

Employer must pay full minimum wages from commencement of employment + difference between wages paid and minimum wages + is liable for prosecution under Section 22.

C6 — GRATUITY DENIED — DEATH BEFORE 5 YEARS SERVICE

[Part C | 10 Marks Marks]

🔍 ISSUE / QUESTION

Whether nominee of deceased employee who served only 3 years is entitled to gratuity, where employer rejected claim citing 5 years not completed.

📜 APPLICABLE LAW

Payment of Gratuity Act 1972 — Section 4(1) and its Proviso

⚖ LEGAL ANALYSIS

PROVISO to Section 4(1): 5 years continuous service condition is NOT NECESSARY where termination is due to DEATH or DISABLEMENT.

Reason for Termination	5-Year Condition
Superannuation / Retirement	5 years REQUIRED
Resignation	5 years REQUIRED
DEATH	5 years NOT REQUIRED — WAIVED
DISABLEMENT	5 years NOT REQUIRED — WAIVED

⚖ Mettur Beardsell Ltd. v. Regional Labour Commissioner (1998)
Proviso to Section 4(1) clearly waives 5-year requirement in case of death — gratuity must be paid even for short service.

✅ DECISION / VERDICT

Employer's rejection is ILLEGAL. Nominee is entitled to FULL GRATUITY. Formula: Last wages × 15/26 × 3 years + 10% interest per annum for wrongful delay.

Nominee may approach Controlling Authority who must direct payment. Employer also liable for interest @ 10% from date gratuity became payable.

C7 — WORKMAN IN EMPLOYER TRANSPORT — ACCIDENT ON WAY HOME

[Part C | 10 Marks Marks]

🔍 ISSUE / QUESTION

Whether death of workman in accident while returning from work in employer-provided transport entitles widow to compensation under Employee's Compensation Act 1923. (Cause: rabbit crossing the road.)

📜 APPLICABLE LAW

Employee's Compensation Act 1923 — Section 3 | Doctrine of Notional Extension

⚖ LEGAL ANALYSIS

Doctrine of Notional Extension: Employment does NOT end at factory gate. Period of employment is notionally extended to cover journeys in employer-provided transport to and from work.

Factor	Legal Position
Journey in employer transport	Covered under notional extension — WITHIN course of employment
Cause of accident	COMPLETELY IRRELEVANT — rabbit crossing road is irrelevant
What matters	Whether accident occurred DURING course of employment
Employer transport = employer's responsibility	Full compensation payable

⚖ Saurashtra Salt Mfg. Co. v. Bai Valu Raja (1958)
Established doctrine of notional extension — employment extends to journey in employer-provided transport.

✅ DECISION / VERDICT

Widow is ENTITLED TO FULL COMPENSATION. Employer transport = course of employment. Cause of accident (rabbit) is completely irrelevant. Compensation under Section 4 based on age and wages.

C8 — FACTORY WORKER DEMANDS ADDITIONAL BONUS ON OVERTIME

[Part C | 10 Marks Marks]

🔍 ISSUE / QUESTION

Whether a factory worker who already received bonus is entitled to additional bonus based on overtime hours worked.

📜 APPLICABLE LAW

Payment of Bonus Act 1965 — Sections 2(13), 2(21) and 10. Definition of 'wages' under Bonus Act specifically excludes overtime allowance.

⚖ LEGAL ANALYSIS

Section 2(21): Wages for bonus EXCLUDES: Dearness Allowance | HRA | OVERTIME ALLOWANCE | Any other allowances | Commission

Question	Answer
Is overtime excluded from wages?	YES — Section 2(21) specifically excludes overtime allowance
Can employer be forced to pay bonus on overtime?	NO — overtime excluded by statutory definition
Is employer's refusal legally correct?	YES — correct legal position
Is worker's demand maintainable?	NOT LEGALLY MAINTAINABLE

⚖ Jalan Trading Co. v. Mill Mazdoor Sabha (1967)

Definition of wages under Bonus Act is a specific statutory definition — only what is included can form basis for bonus calculation.

✅ DECISION / VERDICT

Worker's demand for additional bonus on overtime is NOT LEGALLY MAINTAINABLE. Overtime allowance is SPECIFICALLY EXCLUDED from wages under Section 2(21) of Bonus Act. Employer's refusal is legally correct.

C9 — PART TIME WORKERS — ESI COVERAGE

[Part C | 10 Marks Marks]

🔍 ISSUE / QUESTION

Whether part-time workers employed in a factory are covered under ESI Act 1948. Factory engages 20 part-time workers and refuses to enroll them. One gets injured and demands coverage.

📜 APPLICABLE LAW

Employees State Insurance Act 1948 — Sections 2(9), 2(12) and 38

⚖ LEGAL ANALYSIS

Section 2(9): Employee = any person employed for WAGES in connection with work of factory/establishment. The definition does NOT exclude part-time workers.

Factor	Rule
Coverage criterion	WAGES — not number of hours worked
Part-time worker earning ≤ ₹21,000/month	COVERED under ESI — period
Section 38	Employer MUST insure every employee including part-time workers
Disablement benefit	Payable from FIRST DAY — no minimum contribution period required

⚖ ESI Corporation v. Apex Engineering Pvt. Ltd. (1998)
Definition of employee under ESI Act must be given wide and liberal interpretation to include all categories — including casual and part-time workers.

✅ DECISION / VERDICT

ESI Act COVERS part-time workers. Employer's refusal is ILLEGAL. All part-time workers must be immediately registered. Injured worker entitled to medical treatment + disablement benefit at 90% wages.

Employer must pay arrear contributions with interest and damages. May face prosecution for failing to cover eligible workers.

C10 — CASUAL LABOURER WITHOUT APPOINTMENT LETTER — WAGE PROTECTION

[Part C | 10 Marks Marks]

🔍 ISSUE / QUESTION

Whether a casual labourer who worked 45 days without formal appointment letter is entitled to wages. Employer denies liability citing absence of written contract.

📜 APPLICABLE LAW

Payment of Wages Act 1936 | Minimum Wages Act 1948 | Article 23, Constitution

⚖ LEGAL ANALYSIS

Key Principle: Employment can exist WITHOUT written contract. Under Indian Labour Law there is NO requirement of written contract for valid employment.

Decisive Test for Employment:

- Did the person actually WORK?
- Did they work under employer's DIRECTION AND CONTROL?
- Were they entitled to WAGES for work done?

If all three are YES → employment relationship exists regardless of written contract.

⚖ Peoples Union for Democratic Rights v. Union of India (1982)
Work for less than minimum wages = forced labour under Article 23. SC directed payment of minimum wages to all construction workers.

✅ DECISION / VERDICT

Casual labourer is FULLY ENTITLED to wages for all 45 days. Absence of written contract does NOT negate employment. Non-payment = forced labour violating Article 23.

Worker must be paid minimum wages for all 45 days. Employer liable for prosecution under Payment of Wages Act + Minimum Wages Act.

C11 — GRATUITY FORFEITURE — MISCONDUCT IN LAST MONTH

[Part C | 10 Marks Marks]

🔍 ISSUE / QUESTION

Whether gratuity of an employee who served 10 years can be forfeited on ground of 'loss of reputation' due to misconduct in his final month before retirement.

📜 APPLICABLE LAW

Payment of Gratuity Act 1972 — Section 4(6). FORFEITURE GROUNDS ARE EXHAUSTIVE — no other ground is valid.

⚖ LEGAL ANALYSIS

Type	Grounds
WHOLLY forfeited — only if	Moral turpitude | Riotous/disorderly conduct | Act of violence
PARTIALLY forfeited — only if	Damage/loss/destruction of employer's property (to extent of damage only)
NOT valid grounds — EVER	Loss of reputation | Poor performance | Any other reason not listed

Question	Answer
Is 'loss of reputation' in Section 4(6)?	NO — not mentioned anywhere
Is it moral turpitude?	NO — different concepts
Can it justify forfeiture?	ABSOLUTELY NO

⚖ Garment Export Promotion Council v. Appellate Authority (2004)
Gratuity can be forfeited ONLY on specific grounds in Section 4(6) — no other ground however serious can justify forfeiture.

⚖ Jaswant Singh Gill v. Bharat Coking Coal Ltd. (2007)
Grounds for forfeiture are exhaustive and strictly construed. Even serious misconduct not within Section 4(6) cannot justify forfeiture.

✅ DECISION / VERDICT

Forfeiture on ground of 'loss of reputation' is COMPLETELY ILLEGAL. Employee having served 10 years has an ABSOLUTE RIGHT to full gratuity. Employer must pay + 10% interest per annum for wrongful delay.

📋 QUICK REFERENCE MASTER INDEX | Last-Minute Revision

PART A — SHORT NOTES

Topic	Key Points to Remember
A1 — Living Wages	3 consumption units | 2700 cal | 72 yards | 20% misc | Art.43 DPSP
A2 — Full Bench Formula	Gross Profit → Prior Charges → Available Surplus → 60% Allocable → 8.33%-20% Bonus
A3 — Whitley Commission	1929 appointed | 1931 report | 10 key recommendations | Foundation of labour law
A4 — Social Insurance	4 methods: Insurance/Assistance/Service/PF | Art.41,42,43
A5 — Maternity Benefit	80 days eligibility | 26 weeks (1st/2nd child) | Sec.12 no dismissal
A6 — ESI Corporation	Sec.3 ESI Act | 3.25%+0.75% contributions | 6 benefits
A7 — Gratuity	5 yrs (waived for death) | Last wages×15/26×years | Max ₹20L
A8 — Child Labour	Below 14 = ZERO occupations | 14-18 = no hazardous | 2016 Amendment
A9 — Equal Remuneration	Art.39(d) | ERA 1976 | Sec.4 equal pay | Sec.5 no discrimination in recruitment
A10 — Minimum Wage	2 methods | 5-yr revision | Cannot be waived (Sec.25)
A11 — EPF Act ★NEW	3 schemes: EPF+EPS+EDLI | 12%+12% contribution | ₹15,000 wage ceiling | EPFO
A12 — Factories Act ★NEW	Ch.III Health (S.11-20) | Ch.IV Safety (S.21+) | Ch.V Welfare (S.42-49) | Occupier liable

PART B — LONG ESSAYS

Essay	Key Points
B1 — ESI Act	6 benefits | 3.25%+0.75% | Applicability 10/20 workers | Employer obligations | Penalties
B2 — Minimum Wages Fixation	Committee Method | Notification Method | 15th ILC norms | Revision 5 yrs
B3 — Gratuity Act	Eligibility | Formula | Max ₹20L | Forfeiture Sec.4(6) | 5yr waived for death
B4 — Child Labour Law	Constitutional provisions | 2016 Amendment | Penalties | 4 landmark cases | ILO
B5 — Bonus Computation	Gross Profit → Allocable Surplus | Set On/Set Off | Min 8.33% Max 20%
B6 — Whitley Commission	1929/1931 | 10 recommendations | Legislative impact | Criticisms | Colonial bias
B7 — EPF Act ★NEW	EPF + EPS + EDLI schemes | Contributions | Benefits | Penalties | EPFO
B8 — Factories Act ★NEW	Health S.11-20 | Safety S.21+ | Welfare S.42-49 | Working hours | Occupier liability
B9 — Equal Pay	Art.39(d) | ERA 1976 | 3 key sections | 3 landmark cases | Challenges

Essay	Key Points
B10 — Employee's Compensation ★NEW	S.3 — arising out of + in course of | Notional extension | Compensation formula | No-fault

PART C — PROBLEM ANSWERS

Problem	Key Rule / Verdict
C1 — Night Shift/Woman	Voluntary only | Sec.12 MBA | Reinstatement + back wages
C2 — Heart Attack	Causation test | Contributing cause sufficient | Compensation payable
C3 — Child Domestic	2016 Amendment — domestic SPECIFICALLY prohibited | ₹20,000 fund
C4 — Food Grain Wages	Sec.6 Payment of Wages | CASH only | Consent irrelevant | Void
C5 — Below Min. Wage	Sec.25 = agreement VOID | Statutory right non-waivable | = Forced labour Art.23
C6 — Gratuity Death	Proviso Sec.4(1) — 5 yr waived for DEATH | Nominee entitled for 3 yrs
C7 — Transport Accident	Doctrine of Notional Extension | Employer transport = course of employment
C8 — Overtime Bonus	Overtime EXCLUDED from Sec.2(21) wages | Employer's refusal CORRECT
C9 — Part-Time ESI	Coverage = wages, NOT hours | No exclusion for part-time | Sec.38 mandatory
C10 — Casual Labourer	No written contract needed | Actual work = employment | Art.23 forced labour
C11 — Gratuity Forfeiture	Sec.4(6) EXHAUSTIVE | Loss of reputation NOT a ground | Full gratuity payable

⚖ TOP CASES — MUST KNOW FOR EXAM

Case Name	Ratio / Holding
Bijay Cotton Mills v. State of Ajmer (1955)	Min. Wages Act is constitutional | Cannot be avoided by agreement
Reptakos Brett v. Workmen (1992)	Min. wage must include education, medical, recreation, old age
Lalappa Lingappa v. Laxmi Vishnu Textile Mills (1981)	Gratuity is a RIGHT, not bounty
M.C. Mehta v. State of Tamil Nadu (1996)	₹20,000 per child | Child labour absolutely prohibited
Randhir Singh v. Union of India (1982)	Equal pay = constitutional right under Art.14 & 16
Mackinnon Mackenzie v. Audrey D'Costa (1987)	Equal pay for equal work — strict application
Saurashtra Salt v. Bai Valu Raja (1958)	Notional extension + pre-existing condition no bar
B. Shah v. Presiding Officer (1977)	Maternity benefit includes Sundays and holidays
Bandhua Mukti Morcha v. Union of India (1984)	Bonded child labour violates Art.21, 23, 24
Jalan Trading Co. v. Mill Mazdoor Sabha (1967)	Min. bonus payable even without profit — constitutional
Millowners Assn. v. Rashtreeya Mill Mazdoor Sangh (1950)	Full Bench Formula for bonus
Unichoyi v. State of Kerala (1961)	State must progressively move from min. wage to living wage
Sanjit Roy v. State of Rajasthan (1983)	Payment below min. wages = forced labour Art.23
Consumer Education Research Centre v. UOI (1995)	Right to safe workplace = Art.21 right to life
ESI Corporation v. Apex Engineering (1998)	Employee definition liberally construed — includes part-time workers
Garment Export Promotion Council (2004)	Gratuity forfeiture — Section 4(6) list is exhaustive